

Australian Ethical Balanced Fund

Product Disclosure Statement 2026

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1. About Australian Ethical Investment

Australian Ethical Investment Limited (ABN 47 003 188 930, AFSL 229949) is the responsible entity and investment manager of the Australian Ethical Balanced Fund. Founded in 1986, Australian Ethical is one of Australia's pioneering ethical and responsible investment managers.

ABN	47 003 188 930
AFSL	229949
Founded	1986
Headquarters	Sydney, NSW
Total AUM	AUD 10.7 billion
Ownership	Listed on ASX (ASX: AEF)

AFSL 229949 is current and in good standing. There are no enforceable undertakings issued by ASIC against Australian Ethical Investment Limited. The firm has operated continuously for nearly 40 years with an unblemished regulatory record.

Australian Ethical is guided by the Australian Ethical Charter, a founding document that defines the ethical principles governing all investment decisions. The Charter is embedded in the company's constitution and cannot be amended without a special resolution of shareholders.

2. Investment Philosophy & Process

The Australian Ethical Balanced Fund invests in a diversified portfolio of Australian and international assets, guided by the Australian Ethical Charter. The fund targets returns above CPI + 3.5% per annum over rolling 5-year periods while applying rigorous ethical screening.

Investment philosophy -- the Ethical Charter approach:

- Negative screening: Exclude companies and activities that cause harm to people, animals, or the environment (tobacco, weapons, fossil fuels, gambling, live animal export, old-growth logging)
- Positive tilt: Actively seek companies providing solutions to social and environmental challenges (renewable energy, healthcare, education, sustainable agriculture)
- Best-of-sector: Where engagement is more effective than exclusion, invest in sector leaders demonstrating genuine ESG improvement

Alpha Sources

The fund generates alpha through: (1) avoiding companies with hidden ESG tail risks that traditional analysis misses, (2) identifying undervalued companies benefiting from sustainability megatrends (energy transition, circular economy, digital inclusion), and (3) active engagement that unlocks shareholder value through improved corporate behaviour.

Process Evolution

The investment process has evolved significantly since 1986. The original approach was primarily exclusionary (negative screening). In 2015, the firm introduced a proprietary 'Ethical Scoring' framework that quantifies both harm (negative) and benefit (positive) impacts across 23 impact categories. In 2021, climate scenario analysis (TCFD-aligned) was integrated into the process. The 2023 enhancement added biodiversity impact assessment using the TNFD framework.

3. Portfolio Construction

The fund constructs a diversified multi-asset portfolio within ethical boundaries:

Australian Equities	20-40% (SAA: 30%)
International Equities	20-40% (SAA: 30%)
Fixed Income	10-30% (SAA: 20%)
Property & Infrastructure	0-15% (SAA: 10%)
Cash	0-20% (SAA: 10%)

Concentration Limits

Max single stock	6% at cost
Max single sector	25% of equities
Max single country (ex-AU)	25% of intl equities
Min ethical score	Positive net impact required

The ethical screen reduces the investable universe by approximately 30-40% compared to unconstrained benchmarks. Portfolio construction actively manages this constraint to maintain diversification while ensuring all holdings meet the Charter's requirements.

Rebalancing is conducted quarterly to within +/-5% of SAA. Ethical screening is applied continuously -- any holding that breaches the Charter must be divested within 30 days of identification.

4. Benchmark & Objectives

Primary Benchmark	CPI + 3.5% p.a.
Risk Objective	Lower volatility than global equities
Ethical Objective	100% Charter-compliant portfolio
Time Horizon	Rolling 5-year periods

The CPI + 3.5% benchmark reflects the fund's absolute return orientation and real wealth preservation objective. The slightly lower target than growth-oriented peers (CPI + 4-5%) acknowledges the constraint of the ethical screen, which narrows the investable universe.

Benchmark appropriateness: (1) absolute return target is consistent with the fund's diversified, moderate-risk profile, (2) CPI linkage ensures inflation protection, (3) the 3.5% real premium is achievable within ethical constraints based on 10+ year evidence. The benchmark has been used since the fund's inception in January 2002 with no changes.

5. Key Personnel

Mark Simons -- Chief Investment Officer

Mark Simons has served as CIO of Australian Ethical since 2019. He has over 20 years of investment management experience, having previously held senior portfolio management roles at Colonial First State and AMP Capital. Mark holds a Master of Applied Finance and is a CFA charterholder.

Investment Team

The investment team comprises 14 professionals:

- CIO + 3 senior portfolio managers (equities, fixed income, multi-asset)
- 4 investment analysts (sector coverage)
- 3 Ethics Research team members (Charter application, engagement)
- 2 quantitative analysts
- 1 portfolio implementation specialist

Average tenure 6.8 years

Average experience 14 years

Key person: Mark Simons is identified as the key person. The Ethics Research team is uniquely important as they interpret and apply the Charter. Succession: The Head of Ethics Research (12 years at AEF) and Deputy CIO are designated successors. The team's small size relative to peers is mitigated by deep institutional knowledge of the Charter and documented ethical assessment processes.

6. ESG Integration & Ethical Framework

ESG integration is not an 'add-on' for Australian Ethical -- it is the core of the investment process, enshrined in the founding Charter since 1986.

UNPRI & Industry Commitments

- UNPRI signatory since 2007 (A+ Strategy & Governance)
- Responsible Investment Association Australasia (RIAA) member
- Climate Action 100+ participant
- Net Zero Asset Managers Initiative signatory (2050 target)
- TCFD supporter and reporter since 2019
- TNFD early adopter (2023)

Ethical Scoring Methodology

The proprietary Ethical Scoring framework assesses companies across 23 impact categories:

- Positive impacts: renewable energy, healthcare access, education, sustainable agriculture, financial inclusion, circular economy
- Negative impacts: fossil fuels, weapons, tobacco, gambling, animal cruelty, deforestation, human rights violations, tax avoidance

Each company receives a net impact score from -10 (severe harm) to +10 (transformative benefit). Only companies with positive net scores are eligible for investment.

Exclusion List

Absolute exclusions (0% revenue threshold): Controversial weapons, cluster munitions, nuclear weapons, tobacco manufacturing, live animal export, old-growth logging, intensive factory farming.

Revenue-based exclusions: Fossil fuel extraction (>0%), fossil fuel power generation (>10%), gambling (>5%), alcohol manufacturing (>10%).

Engagement & Stewardship

Active engagement with all portfolio companies on material ESG issues. In FY2025:

- Engaged with 92 companies on 148 topics
- Filed 3 shareholder resolutions (all climate-related)
- Voted on 100% of proxy resolutions
- Voted against management on 24% of resolutions
- Published detailed voting and engagement records quarterly

7. Conflicts of Interest

Australian Ethical's conflicts management:

- Related parties: The fund invests primarily in its own managed sub-strategies. Fee rebates eliminate double-charging. All related-party transactions disclosed in annual report.
- Personal trading: Investment staff subject to pre-clearance, 30-day hold, and prohibition on trading names under active research. The Charter applies to personal investments too -- staff may not personally hold securities excluded by the Charter.
- Soft dollars: Not accepted. Research funded from firm resources.
- Board independence: 6 directors, 4 independent. Board Chair is independent.
- Ethical advisory: An independent Ethics Advisory Committee (3 external members) provides guidance on Charter interpretation, reducing conflicts in ethical assessments.

8. Fees & Costs

Management Fee (MER)	0.79% p.a. of NAV
Indirect Cost Ratio (ICR)	0.10% p.a.
Performance Fee	Nil
Buy Spread	0.12%
Sell Spread	0.12%
Entry/Exit Fees	Nil

The MER includes the cost of the Ethics Research team and impact measurement infrastructure, which is unique to Australian Ethical's approach. The ICR reflects costs of underlying strategies where used.

Total estimated cost: 0.89% p.a. plus applicable buy/sell spread. The higher cost relative to mainstream balanced funds reflects the intensive ethical research and engagement program that differentiates the fund.

9. Business Viability

Fund AUM	AUD 870 million
Fund Inception	1 January 2002
APIR Code	AEF0003AU
Firm Total AUM	AUD 10.7 billion
3-Year AUM Growth (firm)	+18.5% CAGR
Staff Turnover	15%

Australian Ethical has been one of the fastest-growing investment managers in Australia, benefiting from the secular trend toward ethical and sustainable investing. The firm's AUM has grown from AUD 3.8 billion in 2020 to AUD 10.7 billion in 2025, driven by strong retail and superannuation inflows.

The firm is publicly listed (ASX: AEF) providing governance transparency. Revenue growth has tracked AUM growth, and the firm is consistently profitable. No wind-down risk indicators.

AUM Trend

Dec 2023	AUD 7.2 billion
Dec 2024	AUD 9.1 billion
Dec 2025	AUD 10.7 billion

10. The Australian Ethical Charter

The Australian Ethical Charter is the founding document that governs all investment decisions. It is embedded in the company's constitution. Key principles:

- Shall seek to invest in activities and companies that the firm regards as making a positive contribution to human wellbeing and the environment
- Shall avoid investment in activities and companies that are considered to unnecessarily exploit, damage, or threaten life or wellbeing

The Charter is interpreted by the Ethics Research team and guided by the independent Ethics Advisory Committee. Interpretation evolves with societal norms -- for example, fossil fuel exclusions were tightened in 2020 to include any exploration or extraction activity.

11. Risk Disclosures

- Market risk: Equity and bond markets can be volatile
- Ethical screen risk: The reduced investable universe may result in higher concentration or different sector exposures vs mainstream peers
- Tracking error: Performance may diverge significantly from mainstream benchmarks due to ethical exclusions
- Manager risk: Active management may underperform
- Climate transition risk: While the fund avoids fossil fuels, rapid transition may still affect other holdings

12. Regulatory Information

- AFSL 229949 -- current, good standing
- ARSN 097 590 560
- No enforceable undertakings (ever)
- No material regulatory actions
- AFCA member

Australian Ethical has maintained a clean regulatory record since its founding in 1986 -- nearly 40 years without a significant regulatory action.

13. Climate Commitments

Australian Ethical's climate commitments:

- Net Zero Asset Managers Initiative signatory -- portfolio Net Zero by 2050, interim targets for 2030
- Zero fossil fuel exposure (extraction, power generation)
- Portfolio carbon intensity: 65% below mainstream benchmark
- Annual TCFD report published since 2019
- Climate scenario analysis (1.5C, 2C, 3C pathways) conducted annually

14. Impact Reporting

Australian Ethical publishes annual impact reports quantifying the real-world outcomes of its investments:

- Tonnes of CO2 avoided through renewable energy investments
- Number of people provided healthcare/education access
- Hectares of biodiversity protected
- Clean energy generation capacity funded (MW)

Impact measurement follows the Impact Management Project (IMP) framework and is independently assured by Deloitte.

15. Governance

- Board: 6 directors, 4 independent
- Ethics Advisory Committee: 3 external experts
- Investment Committee: CIO + 3 senior PMs
- Risk & Compliance Committee: 3 independent directors
- External auditor: Deloitte

16. Withdrawals

Daily redemptions processed within 5 business days. No gates or notice periods under normal conditions. The fund maintains 10%+ in cash/near-cash to support liquidity requirements.

17. Taxation

AMIT regime. Semi-annual distributions (June and December) comprising dividends, interest, franking credits, and capital gains. AMMA statements provided for tax reporting.

18. Minimum Investment

Minimum Initial AUD 1,000

Minimum Additional AUD 100

Low minimums reflect the firm's commitment to making ethical investing accessible to all Australians.

19. Compliance Framework

- CCO reports directly to Board
- Compliance team: 5 professionals
- Annual compliance plan (approved January 2026)
- Automated portfolio monitoring against Charter and investment limits
- Breach register: 1 minor breach in past 3 years (one-day over-allocation to a single stock, self-identified, corrected immediately)

20. Superannuation

Australian Ethical also operates a superannuation fund (Australian Ethical Super) which invests in the same strategies. The Balanced Fund is available both directly and through super, with consistent ethical screening applied across all channels.

21. Contact

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